

Key Convictions: Third Quarter 2026

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Market insights at a glance

In 3Q26, global fixed-income markets continue to navigate a complex backdrop as resilient growth, elevated inflation, hawkish central-bank pricing and the AI infrastructure buildout intersect. Growth remains supported by the US consumer, fiscal spending in Europe and AI-related capital investment, while inflation is expected to moderate through 2026 and into 2027. Spread sector fundamentals currently appear supportive. We currently see potential opportunities selective opportunities in high-quality AI-related issuance, BBB commercial mortgage-backed securities (CMBS), single-B bank loans, collateralized loan obligation (CLO) tranches and emerging market (EM) local currency debt where valuations compensate investors for risk. This summary is intended to aggregate the Firm's current overall views and present an at-a-glance dashboard.

This quarterly update is intended to aggregate the Firm's current overall views and present an at-a-glance dashboard covering the following:

Growth:Global growth remains supported by US consumption, pro-business policy, EU and German fiscal spending and Chinese exports, even as China's property sector remains a headwind.

Inflation:Six-month annualized US core Personal Consumption Expenditures (PCE) has risen, but fading tariff effects, lower energy pass-through, housing disinflation and lower owners' equivalent rent should support moderation into 2H26 and 2027.

Rates:Shorter-dated rates have adjusted meaningfully higher, while longer maturity yields have moved up by less. Western Asset sees value in moderate duration exposure where yields compensate investors and curve positioning can provide diversification in credit-heavy portfolios.

Credit Markets:Spreads are generally fair rather than cheap. AI infrastructure financing is expanding supply across investment-grade credit, private credit and securitized markets, creating opportunities where issuer quality, structure and spread compensation are attractive, while also increasing the need to monitor cash-flow use and execution risk.

Labor Markets:The US unemployment rate has moved below 4.2%, and broader private-sector job creation supports consumption. This keeps the Federal Reserve (Fed) focused on inflation but does not, in Western Asset's view, require additional policy tightening.

Monetary Policy:Markets have moved toward a more hawkish policy path, but Western Asset believes incoming data should validate a cooling inflation trend. That argues for policy stability in the US and fewer hikes globally than are currently priced.

Fixed-Income Overview and Outlook: Resilient Growth, Hawkish Policy and an AI Financing Wave

In the third quarter of 2026, global fixed-income markets are navigating an unusual combination of resilient growth, elevated but potentially moderating inflation, higher central-bank policy rate messaging and a powerful AI infrastructure cycle. Growth has absorbed tariff pressure, energy volatility and geopolitical concerns, while consumer spending, fiscal support and AI-driven capital investment continue to provide momentum.

Inflation remains the primary constraint on policy flexibility. Realized inflation measures are above target, but several contributors to the recent reacceleration appear likely to fade, including US tax-related support for consumption, tariff impacts and the transmission of higher energy costs. Western Asset expects inflation to move lower in the second half of 2026 and into 2027, which supports the view that market-implied policy rate hiking paths may be somewhat overdone.

Credit markets reflect a healthy fundamental backdrop, but tight spreads leave less room for broad beta exposure. The opportunity set is more idiosyncratic, with emphasis on select high-quality new issuance, AI-related financing with strong issuer fundamentals, single-B bank loans, BBB CMBS, CLO tranches and EM local currency debt where valuations

remain attractive.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Past performance is no guarantee of future results. Please note that an investor cannot invest directly in an index. Unmanaged index returns do not reflect any fees, expenses or sales charges.

Fixed-income securities involve interest rate, credit, inflation and reinvestment risks and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

Active management does not ensure gains or protect against market declines.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically. The government's participation in the economy is still high and, therefore, investments in China will be subject to larger regulatory risk levels compared to many other countries. There are special risks associated with investments in China, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Taiwan could be adversely affected by its political and economic relationship with China.

Commodities and currencies contain heightened risks that include market, political, regulatory, and natural conditions and may not be suitable for all investors.

US Treasuries are direct debt obligations issued and backed by the "full faith and credit" of the US government. The US government guarantees the principal and interest payments on US Treasuries when the securities are held to maturity. Unlike US Treasuries, debt securities issued by the federal agencies and instrumentalities and related investments may or may not be backed by the full faith and credit of the US government. Even when the US government guarantees principal and interest payments on securities, this guarantee does not apply to losses resulting from declines in the market value of these securities.

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